

◇ NIGHTMOVES VENTURES, LLC

CONFIDENTIAL — ACCREDITED INVESTORS ONLY

Downtown Ardmore Boutique Hotel

105 East Main Street • Ardmore, Oklahoma

INVESTOR UNDERWRITING & CAPITAL STRUCTURE

There is no boutique hotel
in downtown Ardmore.

That gap has existed for decades.

We are closing it.

A 25-KEY BOUTIQUE HOTEL • \$5.46M TOTAL PROJECT • FOUR CAPITAL STRUCTURE OPTIONS

The deal in five figures.

TOTAL PROJECT CAPITAL \$5.46M Acquisition, renovation, FF&E, soft costs	ACQUISITION PRICE \$525K Historic building, 1.19 acres	KEYS 25 Boutique room count • plus restaurant + speakeasy
TARGET INVESTOR IRR 15–25% Range across all four capital options	WORKING ARV → OPTIMISTIC \$6.5M → \$9.8M Conservative working number for lender scrutiny	

PLUS • HISTORIC TAX CREDITS

~\$1.76M

20% federal + 20% Oklahoma state on ~\$4.41M of qualifying rehabilitation — a return enhancement on top of the figures above.

Built for hospitality, again.



ARCHITECTURAL RENDERING • 104 E. MAIN

ADDRESS

105 E. Main Street
Downtown Ardmore, Oklahoma

LAND

1.19 acres

BUILDING

18,904 SF • historic

PROGRAM

25 boutique rooms
Restaurant • alley-entry speakeasy

POSITION

Only boutique in downtown
Triple-access: I-35, Amtrak, pedestrian core

MODELED ADR

\$149 – \$285
vs market chain ADR \$100 — \$155

A transformation into the jewel of downtown.



East Main Street frontage



TODAY • RENDERING



Rear elevation & entry



TODAY • RENDERING



Rooftop terrace & bar



TODAY • RENDERING



Main hall → restaurant & bar



TODAY • RENDERING

Ardmore is built for boutique.

6M⁺

WINSTAR WORLD CASINO

ANNUAL VISITORS • 18 MI SOUTH • DFW-DRIVEN • 1,399 HOTEL
ROOMS SELL OUT ON WEEKENDS

1.7M⁺

LAKE MURRAY STATE PARK

ANNUAL VISITORS • 5 MI EAST • OKLAHOMA'S LARGEST STATE PARK
• SUMMER WEEKENDS SELL OUT

10.9M⁺

I-35 CORRIDOR

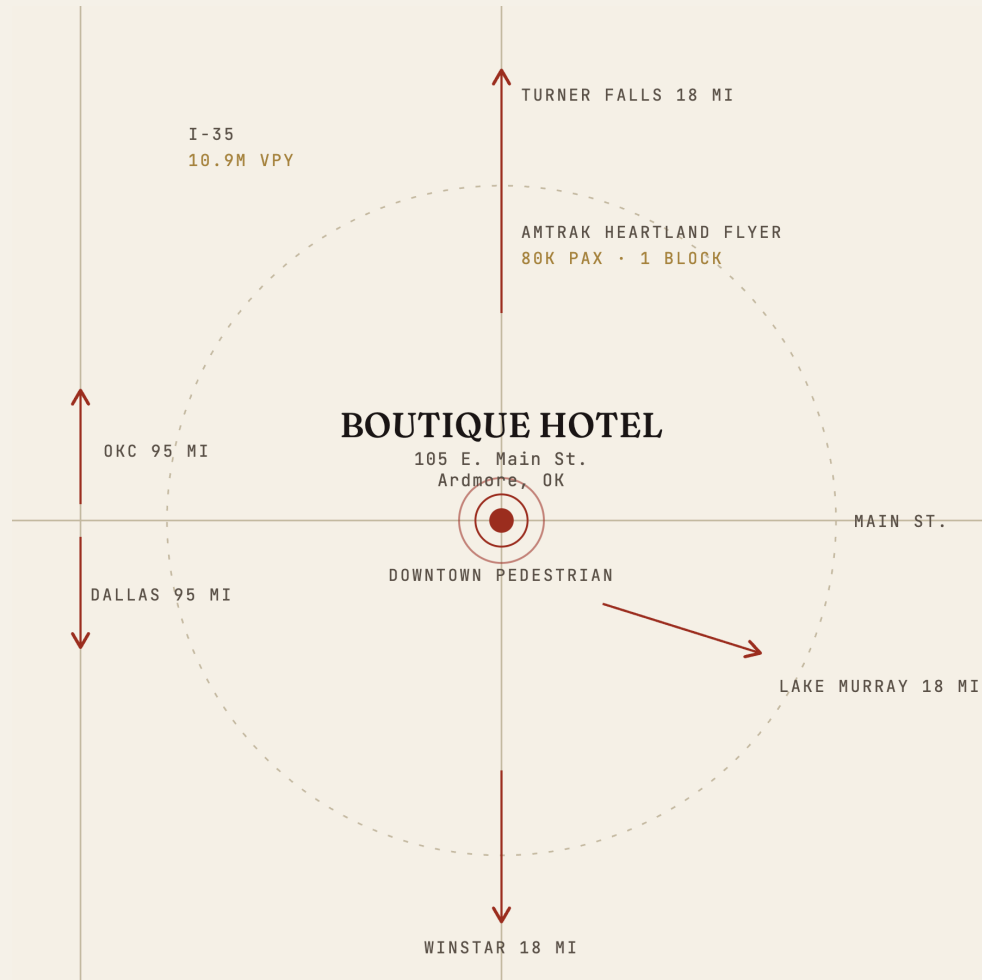
ANNUAL VEHICLES THROUGH ARDMORE • 30,000 VPD AVERAGE •
70,000 PEAK WEEKENDS

80,371

AMTRAK HEARTLAND FLYER

ANNUAL PASSENGERS • STATION *ONE BLOCK* FROM THE PROPERTY

A location no other Ardmore hotel can match.



I-35 The interstate engine.

30,000 vehicles per day average, 70,000+ on holiday and OU-Texas weekends. **10.9M annual pass-throughs.** The corridor that carries DFW's gaming and outdoor traffic into Oklahoma.

RAIL Amtrak's Heartland Flyer.

Daily Fort Worth ↔ Oklahoma City service. **80,371 annual passengers.** The station is at 251 E. Main — *one block* from the property. Walk-to-hotel rail access exists in no other Ardmore lodging.

FOOT Downtown pedestrian core.

Main Street carries **4,300 VPD** directly past the property — with boutique shops, restaurants, and the Convention Center within a half-mile walk.

Thirteen demand engines. Five categories.

GAMING

WinStar World Casino
6M+ / 18 mi south

Gold Mountain Casino
300 machines / 1.5 mi

Lakecrest Casino
Near Lake Murray

OUTDOOR

Lake Murray State Park
1.7M+ / 5 mi east

Turner Falls & Arbuckles
25 mi north

Chickasaw Nat'l Rec
Regional

EVENTS

Hardy Murphy Coliseum
100K+ visitors / yr

Ardmore Convention Ctr
50-80 events / yr

Chickasaw Festival
Annual / week-long

TRANSPORT

I-35 Corridor
10.9M+ vehicles / yr

Amtrak Heartland Flyer
80,371 passengers / yr

E. Main St. (Hwy 70)
4,300 VPD frontage

LOCAL BASE

Chickasaw Nation
1,500+ employees

Mercy Hospital Ardmore
900+ regional med hub

Oil & Gas / Healdton
Highest-paying sector



LAKE MURRAY STATE PARK



WINSTAR WORLD CASINO



CHARLES B. GODDARD CENTER FOR VISUAL
AND PERFORMING ARTS



HARDY MURPHY COLISEUM

A market in active transition — and tourism is the strategy.

WHAT HAPPENED

Manufacturing took a hit.

- Michelin** closed — 1,400 jobs
- AAF / Flanders** closed
- Woodside H2OK** hydrogen plant cancelled

We name these openly. Investors should price them in — and the next two columns explain why we still pencil.

THE CITY'S RESPONSE

A funded, deliberate pivot.

- Economic Vision Plan** with VisionFirst Advisors
- \$1M+ Rapid Community Response** grant deployed
- Tourism & entrepreneurship** named primary replacement pillars
- Dot Foods +\$13.9M expansion**; Circulus (Dow) opening 2nd facility
- Industrial Airpark actively marketed — rail, air, foreign trade zone

THE OPPORTUNITY

We are the flagship.

- Tourism is now an **official economic pillar** — not a side bet
- Ardmore Tourism Authority is actively promoting downtown
- Main Street recognized "**America's Favorite**" by Today Show
- 10.3% business application growth — outpacing state

"The city is actively trying to build its tourism economy — and this hotel is the private investment that makes that strategy credible."

Six chain hotels on I-35. Zero downtown.

I-35 CORRIDOR • 1-2 MILES WEST

Hampton Inn & Suites	88 rooms • \$130 – \$155
Hilton Garden Inn	120 rooms • \$125 – \$150
Comfort Inn & Suites	78 rooms • \$100 – \$130
Holiday Inn Express	84 rooms • \$100 – \$125
Budget chains (3—4)	~250 rooms • \$65 – \$95
Lake Murray Lodge	32 rooms • \$140 – \$175

DOWNTOWN ARDMORE

Boutique hotel (proposed) 25 rooms • \$149 – \$285

Downtown boutique options: *zero*.

Boutique hotels nationally outperform chain counterparts by **+20—35% in ADR**. Ardmore market chain occupancy already runs 70—80% — top quartile of small Oklahoma markets. The supply gap is structural, not cyclical.

The math behind a 25-room hotel that prices like a 100-room chain.

CHAIN — I-35 CLUSTER

\$100 – \$155

AVG DAILY RATE

Generic experience — near-highway, branded boxes, transient stays

Volume play — 80–120 rooms each, lower per-key returns

Lower stabilized occupancy when boutique enters the market

No food/beverage upside beyond breakfast

DOWNTOWN ARDMORE — BOUTIQUE

\$149 – \$285

AVG DAILY RATE • +20–35% NATIONAL BOUTIQUE PREMIUM

Experience-driven — historic building, downtown, walkable

Restaurant + speakeasy — F&B captures 25–35% of revenue

First-mover advantage — no other boutique within 90 miles

Stabilized occupancy modeled 65–78% • market baseline 70–80%

THE EXPERIENCE

A dining room worth the drive.

The ground-floor restaurant and alley-entry speakeasy anchor the F&B program — a projected 25—35% of revenue, and the reason downtown Ardmore finally has somewhere to linger after dark.

THE EXPERIENCE

A rooftop nobody else has.

An open-air terrace and bar above Main Street — the only elevated sunset view downtown, and a year-round draw for destination drinks and private events.

Three valuation methods. One conservative working number.

INCOME APPROACH · 60% WEIGHT

Stabilized NOI ÷ cap rate.

CONSERVATIVE · 9.5% CAP\$6,842,105

BASE · 8.5% CAP\$8,751,012

OPTIMISTIC · 7.5% CAP\$11,333,333

Year 3 stabilized NOI of \$743,836 divided by secondary-market boutique cap.

COST APPROACH · 25% WEIGHT

What it would cost to rebuild.

LAND + BUILD + FF&E\$5,839,000

LESS 10% HISTORIC DEP.\$5,256,000

RANGE\$5.18M – \$5.33M

Replacement cost at \$250/SF · 18,904 SF · land 1.19 ac · FF&E \$400K.

PRICE PER KEY · 15% WEIGHT

Boutique sales comp.

CONSERVATIVE · \$125K/KEY\$3,125,000

BASE · \$175K/KEY\$4,375,000

OPTIMISTIC · \$225K/KEY\$5,625,000

Boutique secondary market range: \$125K—\$250K/key.

WORKING NUMBER

\$6,500,000

Deliberately below the weighted conservative ARV — sets up a comfortable lender margin.

\$5.9M

WEIGHTED · CONSERVATIVE

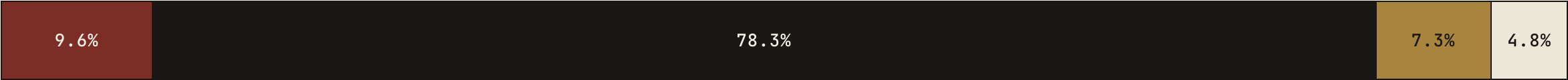
\$7.6M

WEIGHTED · BASE

\$9.8M

WEIGHTED · OPTIMISTIC

\$5,464,200 — where every dollar goes.



ACQUISITION

\$525K

Historic building & 1.19 acres at 105 E. Main

RENOVATION & CONSTRUCTION

\$4.28M

18,904 SF gut + restore • approx \$226/SF all-in

FF&E

\$400K

25 rooms • lobby • restaurant • speakeasy

SOFT COSTS

\$263K

Permits, architecture, pre-opening, working capital

TOTAL PROJECT CAPITAL

\$5,464,200

OFFSET → ~\$1.76M in historic tax credits (40% of ~\$4.41M qualifying rehabilitation) flows back to investors — see next slide.

40% of the rehabilitation comes back as tax credits.

FEDERAL HTC • 20%	OKLAHOMA STATE HTC • 20%	COMBINED CREDITS • 40%	PER \$500K INVESTOR
\$881K	\$881K	\$1.76M	~\$352K

HOW THE CREDITS WORK

- The property is a **certified historic structure** on Ardmore's Main Street — the qualifying basis for both credits.
- Credits equal **40% of Qualified Rehabilitation Expenditures** — the rehab of the historic structure, not acquisition or FF&E.
- QRE base ≈ **\$4.41M**: the ~\$4.28M renovation plus qualifying architecture & permit soft costs.
- Federal credit is claimed **ratably over 5 years**; the Oklahoma credit is **transferable** and can be monetized earlier.

WHAT IT MEANS FOR INVESTORS

- **~\$1.76M flows back to equity** on top of operating and exit returns — a pure return enhancement.
- Each \$575K investor's ~\$352K share lifts the Option 2 base case from **~3.6× to ~4.2×** equity multiple.
- Credits arrive *after* the hotel opens — they do not reduce the capital needed to build, but materially boost after-tax IRR.

Four ways to fund this. One we recommend.

	OPTION 1 Equity + Loan	OPTION 2 • RECOMMENDED ★ Balanced Stack	OPTION 3 Full Equity	OPTION 4 Two Principals
TOTAL EQUITY	\$1.78M	\$2.88M	\$5.46M	\$5.46M
CONSTRUCTION LOAN	\$3.68M	\$2.59M	None	None
INVESTORS	5—8	5—7	8—12	2
MIN. CHECK	\$223K – \$357K	\$411K – \$575K	\$455K – \$683K	~\$2.73M
ANNUAL DEBT SERVICE	~\$300K	~\$210K	\$0	\$0
BALANCE-SHEET REQ.	High • guarantors needed	Medium • lighter guarantee	Low • no loan	Low • no loan
ESTIMATED IRR	15–20%	17–23%	19–25%	19–25%
BEST FOR	Strong-balance-sheet investors wanting leverage	Best overall balance — start here	Cash-rich investors who want zero bank risk	Two principals who want to own it outright, together

Smaller checks. More leverage. Heavier guarantees.

EQUITY RAISE \$1.78M	CONSTRUCTION LOAN \$3.68M	BASE IRR (5 YR) ~17%	EQUITY MULTIPLE ~4.3×
-------------------------	------------------------------	-------------------------	--------------------------

HOW IT WORKS

- 5 equal investors at **\$356,900 each** (13.3% LP slot each)
- \$3.68M construction loan from 1NB or similar regional lender
- Lender requires investors with combined net worth ≥ 2× loan (~\$7.4M+)
- 12-month interest reserve funded at closing (~\$258K at 7.0%)
- Bank commissions own appraisal — our \$6.5M ARV supports a \$3.68M loan at ~57% of ARV

TRADE-OFFS

- **Personal guarantees required from all investors** — the gating issue
- ~\$300K annual debt service starts after construction completes
- Year-1 cash flow is the tightest of the four options
- Bank approval not guaranteed; conservative 57% loan-to-ARV helps but isn't a yes
- Leverage amplifies returns in the upside *and* the downside

Larger equity. Smaller loan. The cleanest bank story.

EQUITY RAISE	CONSTRUCTION LOAN	BASE IRR (5 YR)	EQUITY MULTIPLE
\$2.88M	\$2.59M	~19%	~3.6×

WHY THIS IS THE RECOMMENDATION

- 5 equal investors at **\$575,000 each** (14% LP slot each)
- Loan-to-cost drops to **47%** — very comfortable for a community lender
- Loan-to-ARV at \$6.5M is **39.8%** — well inside conventional underwriting
- Combined investor net worth of **~\$5.2M+** should clear the bank
- Interest reserve needed drops to **~\$181K** (vs. \$258K in Option 1)

TRADE-OFFS

- Larger check size — investor pool is narrower than Option 1
- Still requires a bank approval and ongoing lender relationship
- Construction loan interest accrues during build
- Five investors each hold significant single-deal concentration
- If bank deal falls through, fallback is shifting toward Option 3

No bank. No debt service. Highest IRR — hardest raise.

EQUITY RAISE \$5.46M	CONSTRUCTION LOAN None	BASE IRR (5 YR) ~22%	EQUITY MULTIPLE ~2.9×
-------------------------	---------------------------	-------------------------	--------------------------

HOW IT WORKS

- 10 equal investors at **\$546,420 each** (7.0% LP slot each), or 8 at \$683K
- **Zero debt service** — 100% of Year 3+ NOI flows to investors
- **No bank approval** required; deal closes on investor capital alone
- **No personal guarantees** — investors are passive LPs, full stop
- Full exit proceeds available to investors at sale (no debt payoff)

TRADE-OFFS

- Hardest raise — need \$5.46M from private investors alone
- Each investor's percentage stake is smaller (~2.9× multiple vs. ~3.6× in Option 2)
- More investor relationships to manage on an ongoing basis
- No leverage means lower absolute return per dollar invested in the upside
- Requires a deep accredited investor network — 8—12 commitments

Two principals. No bank. The whole project, owned outright.

EQUITY RAISE \$5.46M	CONSTRUCTION LOAN None	BASE IRR (5 YR) ~22%	TAX CREDIT • PER PARTNER ~\$880K
-------------------------	---------------------------	-------------------------	-------------------------------------

HOW IT WORKS

- Two equal investors at ~\$2,732,100 each (35% LP slot each) fund the entire project.
- **Zero debt service** — no bank, no construction loan; 100% of Year 3+ NOI flows to the two partners.
- Each partner's pro-rata **historic tax credit** ≈ \$880K — half of the \$1.76M combined credits.
- **No personal guarantees** and no lender relationship — the two principals control the deal end to end.
- Full exit proceeds split between the two partners at sale, with no debt to repay.

TRADE-OFFS

- Largest check of any option — ~\$2.73M each; needs two high-capacity investors.
- Maximum single-deal concentration for each partner.
- No leverage means a lower equity multiple (~2.9×) than the levered Options 1 and 2.
- The entire \$5.46M rides on just two commitments — no margin if one drops out.
- Per-partner returns mirror Option 3; the tax credits are the concentration payoff.

A single investor's view of Option 2, base case.

• Initial investment	\$575,000
+ Return of capital at exit	\$575,000
+ Cumulative 8% preferred (5 yrs)	\$230,000
+ Operating cash distributions • Yrs 2—5 • 14% LP	\$177,000
+ Sale proceeds • 14% of net • ~\$7.86M exit	\$1,100,750
+ Share of historic tax credits • 20% fed + 20% state	\$352,000

= TOTAL RETURN • AFTER TAX CREDITS

\$2,434,750

EQUITY MULTIPLE • W/ CREDITS

~4.2x

EST. IRR • W/ CREDITS

~24%

CONSERVATIVE SCENARIO

\$575K → ~\$2,002,000 • ~3.5x • ~18% IRR • \$7.5M exit • incl. ~\$352K credits

~2.9x / ~13%

Why we lead with Option 2.

Option 2 gives you the best absolute investor returns, the cleanest bank story, and maximum flexibility.

Target *five investors at \$575,000 each*. Use the \$2.875M equity to close the property and begin construction. Simultaneously pursue the \$2.59M construction loan — at *~40% loan-to-ARV*, most community lenders will approve without requiring heavy personal guarantees.

If the bank loan cannot be secured, you can approach existing investors about a bridge or bring in 2–3 additional investors to cover the gap — a structured shift toward Option 3. *The fallback is built in.*

47%

Loan-to-cost ratio • very comfortable for a community lender

39.8%

Loan-to-ARV at \$6.5M working value • inside conventional underwriting

~\$181K

Interest reserve needed at closing • vs \$258K in Option 1

~3.6×

Equity multiple base case • highest absolute dollar return of the four options

For accredited investors only.

This document is for **informational purposes only** and does not constitute an offer to sell or a solicitation of an offer to purchase securities. Any such offer or solicitation will be made only by means of a confidential Private Placement Memorandum and related subscription documents furnished to qualified investors.

All projections are **forward-looking estimates**. Past performance is not indicative of future results. Actual results may differ materially from those expressed or implied. Prospective investors should consult their own legal, tax, and financial advisors before investing.

This offering is available **only to accredited investors** as defined under SEC Regulation D, Rule 506(b). Distribution of this document is restricted and confidential.

FOR ACCREDITED INVESTOR INQUIRIES

Lance Ladd

Managing Member
Nightmoves Ventures, LLC

DOWNTOWN ARDMORE BOUTIQUE HOTEL